

Rural Development: An Overview

- **Definition:** Process of improving the quality of life, economic, and social conditions of people in rural areas.
- **Significance:** Remains core to the overall development of the country.
- **Disparity:** Significant gaps exist between urban and rural areas in terms of access to basic facilities (e.g., electricity: 92.7% urban vs. 55.3% rural) and income levels.

Key Areas for Rural Development

1. **Land Reforms:**
 - Rules and regulations for land ownership.
 - Abolition of intermediaries, regulation of rent, land ceiling.
 - Crucial in India where a majority depend on agriculture.
2. **Development of Infrastructure:**
 - Transportation, electricity, permanent irrigation.
 - Credit and marketing facilities.
 - Essential for overall rural progress.
3. **Development of Human Resources:**
 - Focus on education and health facilities for rural populations.
 - Emphasis on female literacy.
4. **Poverty Alleviation Programme:**
 - Addressing the 30% of the population below the poverty line.
 - Significant improvements in living conditions for weaker sections.
5. **Development of Productive Resources:**
 - Providing employment opportunities in rural areas.
 - Training for non-agricultural activities.

Rural Credit System

- **Importance:** Funds are essential for agricultural and non-agricultural activities (seeds, fertilizers, technology).
- **Sources of Agricultural Credit:**
 - **Institutional Sources:** Government-approved agencies.
 - **Non-Institutional Sources:** Traditional sources like moneylenders.

Institutional Sources of Rural Credit

1. **Co-operative Credit Societies:** Cheapest and best source, especially in rural areas without banking facilities.
2. **Land Development Banks:** Advance long-term loans (15-20 years) for land improvement, agricultural implements, and debt repayment.
3. **Commercial Banks:** Played a marginal role initially, but expanded support after nationalization in 1969.
4. **Regional Rural Banks (RRBs):** Provide credit and facilities primarily to small and marginal farmers where banking facilities are scarce.
5. **The Government (Taccavi Loans):**
 - Provided during emergencies (famines, floods).
 - Low interest rate (approx. 6%).
 - Short-term loans for seeds, fertilizers, etc.
6. **National Bank for Agricultural and Rural Development (NABARD):**
 - Apex development bank established in 1982.
 - Provides and regulates credit for agriculture, small-scale industries, handicrafts, etc., to promote rural development.
7. **Self-Help Group (SHG) Bank Linkage Programme for Microfinance:**
 - Informal associations promoting thrift and providing credit to needy members at reasonable rates.
 - Helps in women's empowerment.
 - Borrowings are mainly for consumption.

Non-Institutional Sources of Rural Credit

1. **Money Lenders:**
 - Charge high interest rates.
 - Manipulate accounts, exploiting farmers' lack of knowledge.
2. **Relatives:** Farmers borrow without interest, repaying after harvest.
3. **Traders and Commission Agents:**
 - Advance loans for productive purposes.
 - Force farmers to sell crops at low prices and charge heavy commissions.
4. **Landlords:**
 - Provide loans to small/marginal farmers and tenants.
 - Charge high interest rates, leading to exploitation.

Problems in Rural Credit System

- **Insufficiency:** Volume of rural credit is inadequate compared to demand.
- **Lack of Institutional Sources:** Existing sources cannot meet the heavy demand.
- **Inadequate Sanction Amount:** Loan amounts are often too small for full agricultural operations.
- **Lesser Attention to Poor Farmers:** Schemes often fail to meet the needs of small/marginal farmers; well-to-do farmers get more attention.
- **Growing Overdue:** High rates of non-recovery, sometimes due to deliberate refusal, making credit agencies wary.

Agricultural Marketing System

- **Definition:** System through which agricultural products reach consumers (assembling, storage, processing, transportation, packaging, grading, distribution).

Problems Faced by Farmers in Marketing

- **Manipulations by Big Traders:** Faulty weighing and account manipulation.
- **Lack of Market Information:** Forces farmers to sell at low prices.
- **Lack of Storage Facilities:** Prevents farmers from holding produce for better prices.

Measures to Improve Agricultural Marketing

1. **Regulated Markets:**
 - Create orderly and transparent conditions.
 - Market committees (government, farmers, traders) check sales and purchases.
2. **Improvement in Physical Infrastructure:**
 - Developing roads, railways, warehouses, processing units.
 - Existing facilities are insufficient for growing demand.
3. **Co-operative Marketing:**
 - Farmers form societies to bargain for better prices through collective sale.
 - Example: Milk cooperatives in Gujarat.

Different Policy Instruments

- **Minimum Support Prices (MSP):**
 - Government fixes prices for key agricultural products (wheat, rice, cotton, etc.).
 - Offer price at which the government is willing to buy any amount from farmers.
- **Maintenance of Buffer Stocks:**
 - Food Corporation of India (FCI) purchases at MSP to maintain buffer stock.
 - Used during shortages and natural calamities, ensuring supply and price stability.
- **Public Distribution System (PDS):**
 - Network of ration shops and fair price shops.
 - Offers essential commodities below market price to weaker sections.

Emerging Alternate Marketing Channels

- Farmers directly sell produce to consumers.
- Examples: Apni Mandi (Punjab, Haryana, Rajasthan), Rythu Bazars (Andhra Pradesh), Uzhavar Sandies (Tamil Nadu).
- National/multinational chains partner with farmers, providing inputs and larger markets, reducing price risk.

Organic Farming

- **Definition:** Agriculture relying on crop rotation, green manure, compost, biological pest control.
- Avoids synthetic chemical fertilizers and pesticides.
- Produces safe, healthy food, without adverse environmental impact, and improves soil health.

Benefits of Organic Farming

1. Uses natural environment to enhance agricultural productivity.
2. Produce is pesticide-free and environmentally sustainable.
3. Allows crop diversity, unlike conventional mass production.
4. Improves soil fertility and feeds nutrients to the soil.
5. Enhances health of people, soil, and ecosystems.
6. Prevents water pollution by replacing chemical fertilizers with organic ones.

Constraints in Organic Farming

1. **Lack of Awareness:** Inability of government policy to firmly promote organic agriculture.
2. **Lack of Infrastructural and Marketing Facilities:** Inadequate support for organic produce.
3. **High Input Costs:** Organic inputs are often more expensive than conventional chemical alternatives.
4. **Low Output:** Lesser yields in initial years compared to modern agriculture, making adoption difficult for small farmers.
5. **Shorter Food Life:** Organic produce may spoil faster due to lack of waxes/preservatives.

Diversification of Agricultural Activities

- **Definition:**
 - Change in cropping pattern (food vs. non-food, conventional vs. horticulture, high vs. low value crops).
 - Farmers opting for non-farming options (poultry, animal husbandry).
- Expands production, generates higher income.

Benefits of Diversification

1. **Reduces Risk:** Farmers don't lose all resources if weather doesn't favor one crop.
2. **Increases Income:** Multiple crops from a small field increase production and income.
3. **Additional Employment:** Provides jobs in crowded agricultural sector.
4. **Improves Soil Fertility:** Controls pest incidences.

Non-Farm Employment Areas

1. **Animal Husbandry:**
 - Breeding, rearing, and caring for farm animals.
 - Livelihood for over 70 million rural farmers.
 - Provides income stability, food security, transport, fuel, and nutrition.
 - India has one of the largest livestock populations; poultry has the largest share.
2. **Fisheries:**
 - Important non-farm area due to increasing burden on land.
 - Principal states: Kerala, Maharashtra, Gujarat, Tamil Nadu.
3. **Horticulture:**

- Cultivating fruits, vegetables, flowers, medicinal plants, spices, plantation crops.
- Provides food,